LEAN DIGITAL

THE NEXT STEP

Less complexity, more results.

DIGITAL LEAN FRAMEWORK · V2.4
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ALESSIO SETARO
AUTHOR · DIGITAL LEAN FRAMEWORK

DISARM

<YAFL/>

Yet Another Framework Lecture. Yes, I know.

Give me five minutes. If by then it still feels like one — the eye-rolls are justified, and I'll buy the coffee.

WHO'S TALKING

$ whoami_



Alessio Setaro

Digital Solutions · author of the DLF

- I lead **Digital Transformation**.
- I built the **DLF** with my agents team — and a lot of espresso.
- Leader, builder, framework-maker. Sometimes all in the same hour.
- When I'm not flowing roadmaps — I kite, cycle, run and drink with friends.

SCAN TO CONNECT

linkedin.com/in/alessiosetaro

If something here made you nod — or curse — let's talk.

<WHAT THIS IS NOT/>

So we agree on the elephants in the room before walking around them.

NOT THIS · 01

~~KANBAN EVANGELISM~~

We already have plenty of boards.

NOT THIS · 02

~~A NTH METHODOLOGY~~

That ship has sailed.

NOT THIS · 03

~~A TOOLS CHEAT SHEET~~

Tools are leaves, not roots.

NOT THIS · 04

~~"WE DID AGILE, NOW THIS"~~

Methodologies don't compete here.

What this is — a way of thinking. Older than agile. Older than most of the tools we use daily.

→ IT STARTS IN TOKYO

<WHEN TRANSFORMATION HITS THE WALL />

Two stories everyone in tech knows. Different industries, same failure mode.

LIDL

7 years $500M+

SAP inventory system clashed with existing processes. Project abandoned. Total write-off.

GE PREDIX

$billions 5+ yrs

IoT platform meant to make GE a top-10 software company by 2020. Resources spread thin. Cloud pivot mismanaged. Eventually divested.

INDUSTRY-WIDE DATA

<THE NUMBERS DON'T LIE/>

Three numbers, one truth. These aren't technology numbers — they're process numbers.

70%

OF DIGITAL TRANSFORMATIONS

...don't reach their stated goals.

BCG · GARTNER

$260B

ANNUAL CLOUD SPENDING WASTED

...globally, last year.

FLEXERA · 2025

85%

OF ORGANIZATIONS

...don't generate value with AI adoption.

MIT · 2025

The technology works. What doesn't work is what we did — or didn't do — before bringing it in.

<STARTING POINT/>

Three things we'll take as given. From here, the talk follows naturally.

01 **The platforms are built.**

Years of investment. New architectures. New tools across squads. A clear customer-centric strategy executed at scale. The technology — largely — is in place.

02 **The process hasn't caught up.**

Tools sometimes overlap, often loosely connected. The way people work day-to-day hasn't been redesigned around the platforms we've put in place.

03 **Digital sees end-to-end.**

Business directions are vertical by design. A digital team is the natural place to see processes across every silo. That cross-cutting position is the lever.

→ AND SO, THE QUESTION

How does a digital team keep creating value, when the platforms are already there?

A story.

A Swedish researcher. A Japanese manager. A whiteboard.

Tokyo. Toyota HQ. Around 2010.

TOKYO · THE FIRST MEETING · THE WRONG QUESTION

<THE FIRST MEETING/>

*A Swedish researcher arrives at Toyota. His host is **Nishida-san** — one of the youngest senior managers.*

NISHIDA-SAN "Why are you here?"

NIKLAS "I carry out research in lean services. I want to know how to apply lean practices in service companies."

NISHIDA-SAN

"Yet another foreigner who does not understand anything."

"You have just asked a question that shows you do not understand what the Toyota Production System is about. If you are going to be here for two years, I recommend you try to understand our core philosophy. Our values and principles guide everything that we do."

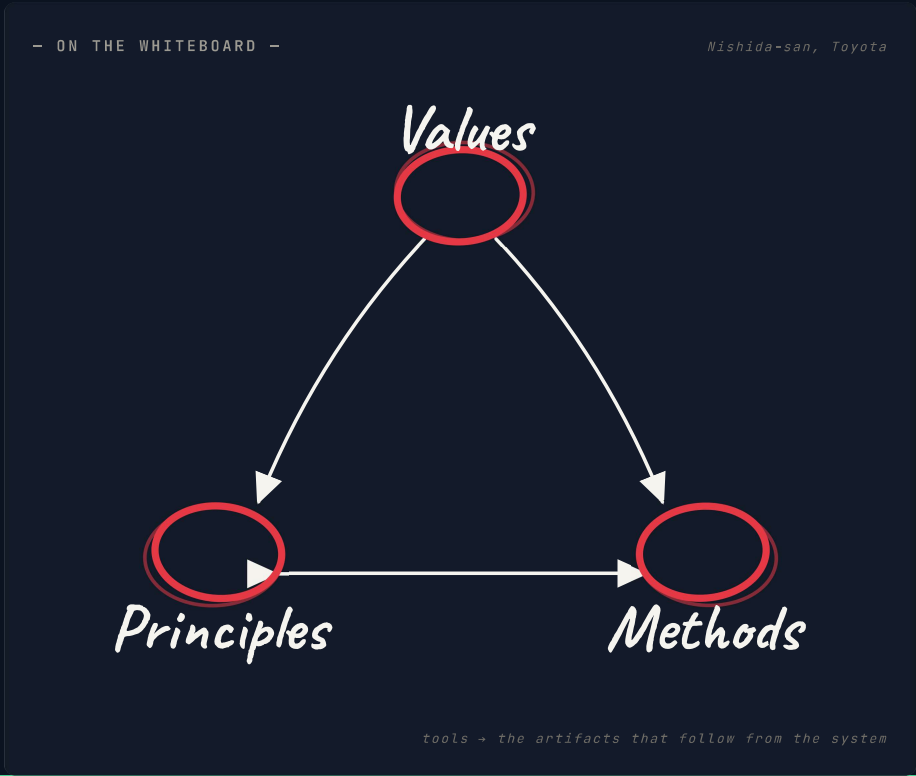
THEN HE WALKED TO THE WHITEBOARD.

TOKYO · THE WHITEBOARD · WHAT NISHIDA WROTE

<VALUES • PRINCIPLES • METHODS • TOOLS/>

Four words. One drawing. The whole system in a single frame.

VALUES	how an organisation should **behave**
PRINCIPLES	how an organisation **thinks**
METHODS	what an organisation **does**
TOOLS	what an organisation **has**



Build the organisation as a system. Reduce the variation in how people behave, think, and act — and deliver the value the customer wants, consistently.

<THE TREE/>

What Nishida-san drew, and what it means.

LEAVES

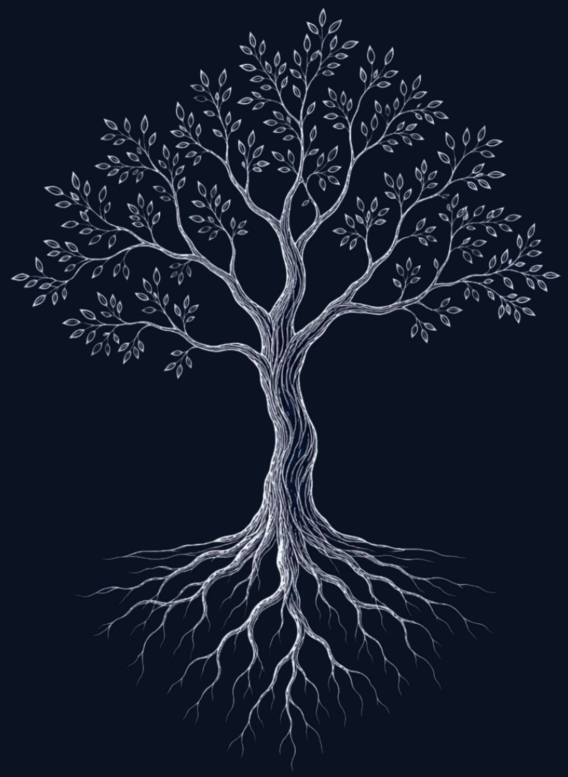
The tools.

Kanban boards. Andon cords. The visible things.

BRANCHES

The methods.

The workflows and the practices.



TRUNK

The conceptual principles.

How value flows. How customers receive it.

ROOTS

The cultural values.

Teamwork · communication · sobriety · improvement.

"You Westerners come here, and you take the leaves." — Nishida-san

CONTEXTUALISATION

<FROM A TREE INTO THE COMPANY/>

*The tree tells us **why** lean works. We needed something to guide us in applying it to our context.*

THE TREE

A metaphor.

It tells us why every lean attempt that copies the leaves and ignores the roots, fails.

→

THE FRAMEWORK

A lighthouse.

It tells us how to keep the whole tree intact when we apply lean to a digital process.

Roots, trunk, branches, leaves — applicable to a ticket, a sprint, a deploy.

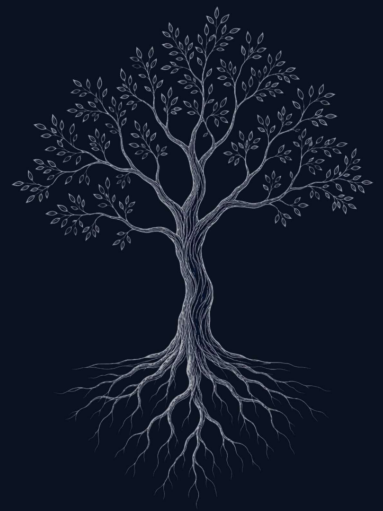
<WHY A FRAMEWORK/>

Not a new school of thought. A vehicle to apply the existing one.

Principles without a framework: **everyone reinvents the wheel**.

Tools without principles: **lean theater**.

The Digital Lean Framework carries the full vertical — values, principles, methods, tools — so the whole tree stays intact.



CALLBACK · NISHIDA

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<THE DIGITAL LEAN FRAMEWORK />

A framework with the ambition to help organisations bring **lean thinking** as **strategic** thinking.

Not a methodology toolkit. Not another agile rebrand. A discipline, made operational — translated for digital.

01 · LEAN

For digital.

The roots of lean thinking — kept whole, not stripped to leaves.

02 · STRATEGY

Not tactics.

A way of seeing the whole organisation, not a sprint ritual.

03 · DISCIPLINE

Not tools.

Process before technology. Always. Without exception.

AN OPEN FRAMEWORK · FREE FOR NON-COMMERCIAL USE

THE FRAMEWORK · A 30-SECOND MAP

<HOW IT'S BUILT • HOW IT RUNS/>

Before we open it up — a quick map. The framework has four levels, and it runs on a workflow you can repeat sprint by sprint.

01	**VALUES**	The cultural soil. *How the organisation should behave.*
02	**PILLARS**	The mental model. *How it thinks — Law Zero, Flow physics, Needs, Internal chain, Jidoka.*
03	**OPERATIVE**	The verbs. *VALUE → STREAM → CLEAN → FLOW → KAIZEN. In sequence. Order matters.*
04	**TOOLS**	The instruments. *VSM, DLI, 9-muda scan, impact matrix, sprint kaizen, dashboards.*

+ ASSESSMENT WORKFLOW

Pre-assessment (0A–E) once. Then iterate steps 1–6 sprint by sprint.

+ LEAN TEST

3 questions at the end of every sprint. 3 yes = aligned. 3 no = back to Law Zero.

↓ NEXT Let's open the framework piece by piece — starting from the most counter-intuitive idea in lean: **the flow unit**.

LET'S OPEN THE FRAMEWORK

<UNDER THE HOOD/>

*Four **levels** + three **sections**. Top-down: values translate all the way down to tools. Bottom-up: every tool must trace back.* If it can't trace — it's lean theater.

LEVEL 01	**VALUES**	How the organisation **IS** — the cultural soil
LEVEL 02	**PILLARS**	How it **THINKS** — the mental model (Law Zero, Flow physics, Needs, Chain, Jidoka)
LEVEL 03	**OPERATIVE**	What it **DOES** — the verbs: VALUE → STREAM → CLEAN → FLOW → KAIZEN
LEVEL 04	**TOOLS**	What it **HAS** — temporary countermeasures (VSM, DLI, 9-muda, matrix, sprint, dashboards)
SECTION §5	**WORKFLOW**	How you **RUN** it — pre-assessment (0A–E) once, then 6 steps sprint by sprint
SECTION §6	**LEAN TEST**	How you **CHECK** it — three anti-theater questions at the end of every sprint
SECTION §7	**APPLICATION SURFACE**	Where it **LIVES** — 4 operational tracks + 1 transversal layer (digital transformation programs)

↓ NEXT All seven on a single page — then we open them one by one.

THE DIGITAL LEAN FRAMEWORK — on a page · the hierarchy

*The four lean levels are **vertically connected**. Top-down: values translate down to tools. Bottom-up: every tool must trace back to a principle, a pillar, a value.*

01 VALUES

HOW THE ORG IS

the cultural soil

- 1.1 **Teamwork** — *Collective, not solo*
- 1.2 **Communication** — *4+1 types (with Jidoka)*
- 1.3 **Eliminate waste** — *Eliminate muda*
- 1.4 **Continuous Improvement** — *Short cycles*

02 PILLARS

HOW IT THINKS

the mental model

- 2.1 **Law Zero** — *Process > technology*
- 2.2 **Internal chain** — *Customer ↔ supplier*
- 2.3 **Flow physics** — *3 laws + matrix*
- 2.4 **Needs** — *Direct + 3 sources*
- 2.5 **Digital Jidoka** — *Visibility + anomalies*

03 OPERATIVE

WHAT IT DOES

the verbs

- 3.1 **VALUE ↔** — *Proximity + density*
- 3.2 **STREAM ↔** — *VSM + bottleneck*
- 3.3 **CLEAN ↔** — *9 muda + 3 sources*
- 3.4 **FLOW ↔** — *Pull + standard*
- 3.5 **KAIZEN** — *Evolutionary capability*

04 TOOLS

WHAT IT HAS

temporary countermeasures

- Value Stream Map
- DLI scorecard
- 9-muda checklist
- Impact / compl. matrix
- 2-week sprint
- Flow dashboard
- Anomaly thresholds
- Runbook + template

VERTICAL TRACE EXAMPLE

Frugality + waste removal → Pillar 4 — Needs + 3 sources → CLEAN → 9-muda checklist

Use the "9-muda checklist" and can't trace it back to the Frugality value? Orphan tool. See Lean Test #1 on the next slide.

3 SECTIONS / 11 STEPS / 3 TESTS / V2.4

THE DIGITAL LEAN FRAMEWORK — on a page · how to use it

§5 ASSESSMENT WORKFLOW

pre + run

PRE 0A–E	0A · Boundaries *Unit + abstraction*	0B · Matrix *From → To*	0C · Needs *Direct / indirect*	0D · Chain *Internal customer*	0E · Jidoka *Flow visibility*
RUN 1–6	1. Selection	2. VSM	3. Muda	4. DLI	5. Plan	6. Re-assess

§6 LEAN TEST • END OF SPRINT

VERDICT *3 yes = aligned · 1 no = fix · 2 no = stop · 3 no = back to Law Zero.*

TEST 1 · TOOL

Orphan tool

For each tool used: can you name in 30s which DLF principle it serves & what value the customer gets?

No → suspend or reconnect to its principle.

TEST 2 · METHOD

Cosmetic method

Last 3 sprints: did a flow metric actually move? DLI, flow ratio, throughput, matrix position?

No → diagnose source & dimension.

TEST 3 · STRATEGY

Strategy drift

Last 3 sprints: did any customer get a real gain — fewer reminders, fewer escalations?

No → back to step 0A / 0C.

§7 APPLICATION SURFACE • 4 + 1

where it lives

IT & Digital Service Delivery	Cybersecurity	Leadership & People	AI Adoption
Incidents, access, data, observability, MLOps	*Lean cyber resilience*	*Lean leadership lab*	*Process before model*

+ 1 TRANSVERSAL LAYER

Digital Transformation Programs — *End-to-end redesign / migration initiatives that span the 4 specialist tracks above.*

Today the DLF is focused on these 4 + 1. Future versions extend to additional tracks and layers.

THE FRAMEWORK · APPLICATION SURFACE

<ONE FRAMEWORK • 1 LAYER + 4 TRACKS/>

The application surface most impacted in a post-transformation scenario.

1 TRANSVERSAL LAYER — *end-to-end programs that orchestrate the tracks*



LAYER · 00

DIGITAL TRANSFORMATION PROGRAMS

End-to-end initiatives across the 4 tracks below.

orchestration

+ 4 OPERATIONAL TRACKS — *where the work happens day-to-day*

TRACK · 01



IT AND DIGITAL SERVICE DELIVERY

Incidents, access, data, observability

TRACK · 02



CYBERSECURITY

Lean cyber resilience

TRACK · 03



LEADERSHIP & PEOPLE

Lean leadership lab

TRACK · 04



AI ADOPTION

Process before model

Future versions extend to additional tracks and program layers.

<THE 4 DLF VALUES/>

The roots of the tree. Without these, the rest is theater.

VALUE 01

TEAMWORK

Flow crosses people. Solo heroes break it.

VALUE 02

COMMUNICATION

Handoffs are where value leaks.

VALUE 03

ELIMINATE WASTE

Use what you need, not max capacity.

VALUE 04

IMPROVEMENT

Kaizen is a habit, not a project.

Without these, tools don't help. With these, you barely need most of the tools.

→ THE ROOTS

LAW ZERO

Process before technology. Always. Without exception.

✗ CHOOSE THE TOOL FIRST

The process bends to fit it.

· Lidl SAP — 7y · $500M+ write-off
· GE Predix — $billions divested
· Most billion-dollar failures

✓ CLARIFY THE PROCESS FIRST

The right tool becomes obvious.

· Map the flow unit first
· Identify the waste it removes
· Or discover you don't need it

Clean processes amplify good tools. Messy processes amplify bad ones.

<FLOW UNIT & THE EFFICIENCY PARADOX/>

Three concepts that flip everything else upside-down. Get them right — the rest of the framework follows. Get them wrong — every conversation about "efficiency" means a different thing to a different person.

§ 01 · DEFINE The flow unit

The **"thing"** that travels through the process — and that receives value. Define this **before** anything else.

- ~~*the cook*~~ → **the dish**
- ~~*the doctor*~~ → **the patient**
- ~~*the system*~~ → **the customer's request**

§ 02 · MEASURE Two efficiencies

Two ways to look at efficiency. Lean cares about **one** of them.

FLOW EFFICIENCY

$$\frac{\text{value-added time}}{\text{throughput time}}$$

How fast value crosses the process — **from the flow unit's POV**.

RESOURCE EFFICIENCY

$$\frac{\text{busy time}}{\text{available time}}$$

How saturated your people & machines are — **the manager's instinct**.

§ 03 · THE PARADOX You can hit 100% resource use and 0% flow.

MODE A · resource-driven

The cook never stops. Starter cold. Pasta overcooked. Dessert rushed. 100% utilisation, 0% flow.

MODE B · flow-driven

The cook has pauses. Every dish reaches the table fresh. **That's lean.**

Saturate every resource → no buffer for variability → queues form → flow stops. **Saturation isn't efficiency. It's drag.**

THE PHYSICS OF FLOW

Three laws. They have nothing to do with the technology you choose.

01 · LAW

LITTLE'S LAW

```
TT = WIP × CT
```

throughput time = work-in-progress × cycle time

Want it faster? Cap the WIP. Discipline beats heroics.

02 · LAW

THE BOTTLENECK



System throughput = slowest step. Optimize elsewhere, nothing moves.

03 · LAW

VARIABILITY



Wait times explode near 100% utilization. Saturation is drag.

Little. Bottleneck. Variability. Three names, almost everything explained.

<THE INTERNAL CUSTOMER-SUPPLIER CHAIN/>

Every step is a customer of the previous one, and a supplier to the next.

STAGE
L1
Supplier to L2

→

STAGE
L2
Customer of L1
Supplier to L3

→

STAGE
L3
Customer of L2

WHEN THE CHAIN BREAKS

Bad input at L1 → L2 reworks → L3 sends back → rebound.

The fix isn't to optimize L2 harder. The fix is to make L1 a better supplier.

<DIRECT VS INDIRECT NEEDS/>

What the customer wants vs. what they do because the process is broken.

DIRECT NEEDS

What they came for

- Access to a tool
- A resolved incident
- A new colleague onboarded

INDIRECT NEEDS

What they do *because*

- Sending reminders
- Asking for status
- Escalating · workarounds

Indirect needs are a symptom. Healthy processes eliminate them.

<DIGITAL JIDOKA/>

The andon, redesigned for digital processes.

Toyota's andon stops the line when something is wrong.
Digital jidoka does the same for digital flows.

01 · VISIBILITY

Real-time flow dashboard. Not a monthly report.

02 · ANOMALY DETECTION

SLA breaches, queue spikes — trigger automatically.

03 · STOP THE LINE

Authority near the problem. Stop, fix, restart.

<THE 5 OPERATIVE PRINCIPLES/>

In sequence. Order matters. Skip a step, and the next one fails.

01
VALUE
Define value from the customer's point of view.

02
STREAM
Map the value stream. See where flow breaks.

03
CLEAN
Eliminate waste. The 9 muda are your checklist.

04
FLOW
Optimize flow. Use the three laws.

05
KAIZEN
Improve continuously. Sprint after sprint.

Flow before clean = speeding up waste. Clean before value = removing things customers need.

LEVEL 4 · THE TOOLS · THE LEAVES

<THE 9 DIGITAL MUDA/>

Where waste hides in digital processes.

01 **Overprocessing**	02 **Waiting**	03 **Overproduction**	04 **Defects**
05 **Motion**	06 **Inventory**	07 **Transport**	08 **Unused talent**

09 ORIGINAL TO THE DLF

Perfection Trap

Chasing the perfect product before shipping. Iterations without real users. Sunk cost. Devastating in digital waste production.

If you remember only one waste from today — make it #09.

LEVEL 4 · THE TOOLS · THE LEAVES

<THE DIGITAL LEAN INDEX />

One number, four dimensions, 0–100 scale. Sprint after sprint.

When you have a number, you stop debating and start improving.

01 · WASTE SCORE

How many of the 9 muda are active, and how intensely.

02 · FLOW RATIO

% of throughput time that's actual value-added work.

03 · COMPLEXITY

Tools, handoffs, approvals, external dependencies.

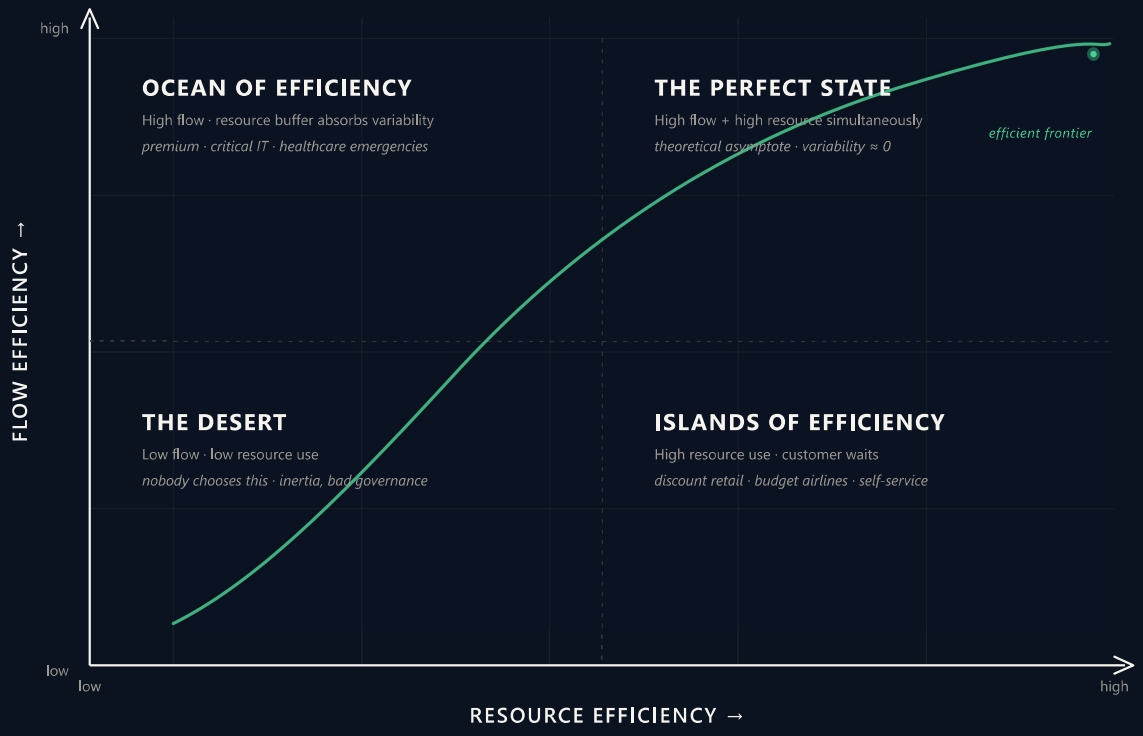
04 · VALUE ALIGNMENT

% of activities tied to defined customer outcomes.

<THE EFFICIENCY MATRIX/>

MODIG & ÅHLSTRÖM
FLOW × RESOURCE EFFICIENCY

Two independent axes, four strategic quadrants.



LEVEL 4 · THE TOOLS · THE LEAVES

<MATRIX IS A STRATEGIC CHOICE />

Not every process belongs in Ocean. Choose your quadrant on purpose.

ISLANDS — DELIBERATE

Self-service portal · low-cost is the model.

OCEAN — NON-NEGOTIABLE

Cyber incident response · exposure compounds every minute.

Diagnosis tells you where you are. Strategy tells you where you should be.

SPOILER ALERT

I used AI to build it. It uses AI to run.

Welcome to 2026.

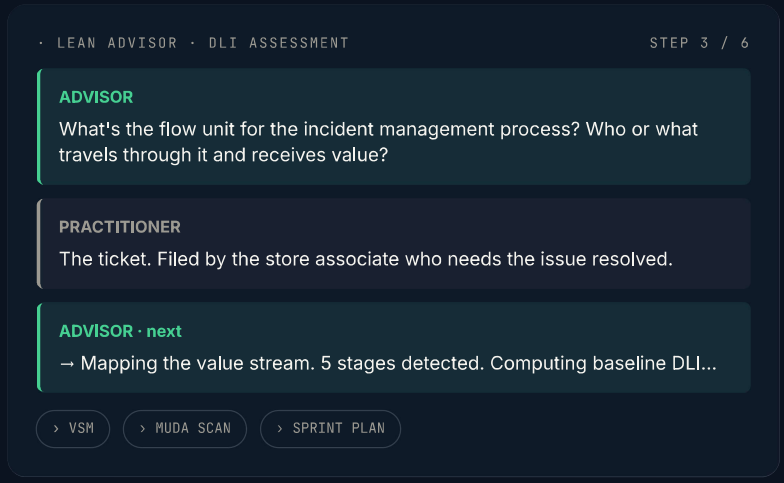
AI for what AI is good at: structured dialogue, calculation, pattern matching. The judgment is still human. The discipline is still lean.

SKILL IN ACTION

<THE LEAN ADVISOR/>

The framework, made operational by AI.

Not a chatbot that explains lean. An operational instrument that produces baselines and plans.



THE ATOMIC UNIT OF CHANGE

<SPRINT KAIZEN/>

The DLF's atomic unit of change. Two weeks. Measurable. Repeatable.

01

PICK ONE MUDA

From the Top 3. Just one. Discipline beats ambition.

02

DEFINE "DONE WHEN"

A measurable target. A number a five-year-old could check.

03

IMPLEMENT

Two weeks. Cross-functional pod. Descope until it fits.

04

MEASURE

Re-compute the DLI. The new number is the data.

05

DECIDE NEXT

Pick the next sprint. KAIZEN never stops — it's a culture.

Why two weeks? Because anything longer turns into a project. Projects go to die.

THE KEYSTONE · BRIDGE TO CLOSING

$ how_do_i_drive_change_

```
// HONEST ANSWER
> "It isn't easy. There's no script.
> "A framework on a page changes nothing — until someone commits to walking it."
```

The framework is the map. The practitioner is the one walking.

Values, judgement, the courage to subtract — these don't live in the spec. **They live in a person.** *The DLF is the lever. The practitioner is the hand on it. Without the hand, the lever doesn't move.*

↓ NEXT Three things to take home — Monday morning.

<THE 5 SUPERPOWERS/>

5 INDIVIDUAL CAPABILITIES
VS. 4 ORGANISATIONAL VALUES

*The 4 values are what the framework asks of the **organisation**. The 5 superpowers are what the practitioner brings as a **person**.*

01 PASSIVE LISTENING — *augmented perception*

Don't listen — absorb. The radar is always on. You pick up signals, micro-expressions, changes. Sometimes you know things nobody has said to you directly. You've simply breathed them in.

FEEDS · VALUE

SHADOW · *deep listening wears you down. The mature power learns to filter.*

02 EXPERIENCE TRANSFER — *cross-pollination*

Every experience — sport, personal, professional — becomes an operational metaphor. The climb teaches patience. The wind teaches adaptation. Fatigue teaches how to challenge limits.

FEEDS · CLEAN

SHADOW · *when every experience is a lesson, the risk is over-reading. Sometimes you just pedal.*

03 INSTANT CONNECTIONS — *cross-domain problem solving*

When someone poses a new problem, connections form — experiences, ideas, intuitions seemingly disconnected suddenly snap together. Not the expert in everything: the connector of meaning.

FEEDS · STREAM

SHADOW · *the mind running too fast skips the listening.*

04 SYSTEMS THINKING — *the whole-view*

See the organisation as a system of systems. Read the dynamics between teams, processes, technology and people as a single flow. The digital team is the only actor with cross-functional, end-to-end vision — this is its unique value.

FEEDS · STREAM (macro) + INTERNAL CHAIN

SHADOW · *paralysis by complexity. Wanting to understand everything before acting.*

05 RADICAL SIMPLIFICATION — *the courage to subtract*

The courage to remove. To say "this doesn't serve us." The most counter-cultural superpower of all — in a world that adds, subtract. In a world that complicates, clean.

FEEDS · CLEAN

SHADOW · *oversimplification. Cutting what you don't yet understand.*

SUPERPOWERS & ANTIFRAGILITY

Every superpower casts a shadow. The bigger the strength, the longer the shadow. The mature practitioner doesn't choose between force and shadow — they hold both. True power isn't control. It's balance.

"If we can't accept limitations, then we're no better than the bad guys."

— IRON MAN

<LOOP OF HUMANS/>

```
// EARLIER · SLIDE 32
$ echo "I used AI to build it. It uses AI to run."
> "The judgment is still human. The discipline is still lean."
```

AI is the multiplier. The practitioner is the constant.

A model can accelerate, calculate, pattern-match. **A model never knows when to subtract.** *That takes a human.*

↓ NEXT The five capabilities the practitioner brings as a person — the DNA of the framework.

<THREE THINGS TO TAKE HOME/>

Actionable on Monday morning.

01

DEFINE YOUR FLOW UNIT.

For one of your processes this week. Write it down. Make your squad agree.

02

TIME YOUR NEXT HANDOFF.

With a stopwatch. The number will be uncomfortable. That discomfort is the signal.

03

BEFORE PLUGGING AI IN —

...ask if the process should exist at all. Sometimes the answer is "remove it."

<THE 5-MINUTE LEAN TEST/>

Five questions to ask about any process this week.

Q1

WHO IS THE CUSTOMER?

Direct or indirect needs?

Q2

WHAT IS THE FLOW UNIT?

Who or what receives value?

Q3

WHERE IS THE BOTTLENECK?

Hint: where the queue forms.

Q4

WHAT % IS ACTUAL WORK?

Of total throughput time.

Q5

SHOULD IT EXIST AT ALL?

The one most people don't ask.

Five minutes. Any process. You'll learn more than a strategic review will tell you.

KILLER PHRASE

Automate a mess — get a faster mess.

AI on a clean process is an amplifier of value. AI on a messy process is an amplifier of noise.

APPENDIX · TAKE THIS HOME

<REFERENCES/>

Everything in one QR — the framework, the operative guide, the skill, the one-pager. Plus the book that started it.

SCAN TO OPEN

github.com/AleWayfarer/digital-lean-framework

INSIDE THIS QR

01 **The DLF Framework**
v2.4 · the full specification — 4 levels, 5 pillars, 5 operative principles, 9 muda

02 **Operative guide**
how to run an assessment — pre-assessment, six-step sprint, lean test

03 **Lean Advisor skill • MD files**
the AI skill that runs assessments — prompts, schemas, response templates

04 **DLF on a page**
printable companion — pin it on the wall

FURTHER READING

This is Lean
Niklas Modig & Pär Åhlström · 2011 · where the Nishida story lives. thisislean.com